over Rs 3 lakh crore as capital in PSBs. In 2020–21, the government budgeted considerable sums of money to provide solvency capital to insurance companies and growth capital to IIFCL. While the private sector banks and insurance companies were generating large profits and raising capital from the market, the government had to pump large capital into public sector banks and insurance companies to help them meet their minimum capital requirements at the expense of constrained budgets.

The government should stop making further capital contribution to these enterprises. All the equity investment of the government in profit-making financial and non-financial public-sector enterprises can be transferred to a sovereign assets management company. It can take the appropriate call to capitalize further, sell or disinvest a further minority stake in each of these companies. The government can get capital receipts against disinvestment proceeds by selling stakes in the sovereign asset management company.

Reforming Models of Assistance to Agriculture and Small Industry

There is a very intrusive and wasteful model of schematic development assistance in several areas like agriculture and MSMEs, which are essentially private-sector activities.

There were thirty-three schemes listed in the budget of the Department of Agriculture, Cooperation and Farmers' Welfare (other than PM Kisan and Annadata schemes, which are direct benefit delivery schemes) to deliver free or subsidize all kinds of agriculture inputs, extension services, interest subvention, insurance cover, mechanization support and water management, at a total cost of over Rs 57,000 crore in the Budget 2020–21.

Two dozen schemes have outlays of less than Rs 1000 crore. In terms of implementation on ground, while some farmers get some support, the rest continue to live with unmodernized farms, distorted input prices and rationed supplies.